

William Blair 44th Annual Growth Stock Conference

Company Participants

- Toby David, Chief of Staff

Other Participants

- Jon Andersen, Analyst, William Blair
- Unidentified Participant, Unknown, Unknown

Presentation

Jon Andersen {BIO 15033263 <GO>}

Okay, we're gonna kick it off. Thanks everyone for joining us. Good afternoon.

My name is Jon Andersen. I'm the cell-side equity research analyst at William Blair that covers Celsius. I want to welcome you to the presentation here. We're pleased to have Celsius' Chief of Staff, Toby David, as well as down on the floor, sitting somewhere, Senior Vice President of Communication, Paul Wiseman.

Celsius aims to inspire people who want to live fit by giving them a sustained energy source that's specifically formulated to help them reach their goals. The company does this essentially by offering energy beverages that stand out against other brands in the category.

Celsius is helping reinvent the energy drink category, making it approachable for a broader set of consumers and relevant across a wide range of use occasions at home, at work, and at play. As a result of its success, the company's grown its sales at a compound annual rate in the triple digits from 2020 to 2023, and now commands a market share of more than 11% in the U.S. energy drink category.

Before handing it over to Toby, I have a couple of housekeeping items. First, recall immediately following this presentation, there's gonna be a breakout session. Because this is the last presentation of the day, we're gonna do the breakout immediately following the presentation in this room. So be ready with questions.

Second, I must inform you that a complete list of research disclosures or potential conflicts of interest can be found at the William Blair website. And with that, thanks for your patience, and I'll turn it over to Toby.

(Video Playing)

Toby David {BIO 20749891 <GO>}

All right. Pleasure to be here, everyone. Hopefully that video got you all excited. I requested a 25 (inaudible) after nine hours today. I thought maybe that would chop into my time up here. But I think they're testing me, see if this stuff really works. I'm the last, last guy of the day up here.

So quick introduction. Toby David, Chief of Staff here with Celsius, 12 years with the company, predominantly in sales. Now IR is one of the functions that I work in. But we're cross functionally

with the team, the head of marketing, sales, operations and finance and then work closely with our CEO, John Fieldly.

I'm going to walk you through the presentation today. Looking for the Q&A afterwards through that. Celsius, for those of you unfamiliar with our brand, number three energy drink in the United States. The first brand, in fact, in the last decade within the energy drink category to eclipse a 10% market share. This is a duopoly owned by Red Bull and Monster. And we're here to disrupt it.

We're not an overnight success. Twenty years in the making. I'm going to walk you through a little bit of the evolution of this company a little bit later on in the presentation.

We have four distinct product lines that are part of our portfolio. I'll walk through that as well.

Last year, \$1.3 billion in sales, 48% gross margin. You can see the other financial numbers up there as well.

We're looking to expand internationally. We'll touch on that a little bit later on as well. Six markets that we have announced for 2024. Those markets we already launched in Canada in January up to a 5.5% market share in Canada. And only two and a half months at the end of Q1. Seen quite a bit of success there. UK, we just launched in there, and Ireland, Australia, France and New Zealand are on their way in Q4.

Who is Celsius? Our roots are in fitness. This is really the DNA of our brand. It's one of the ways that we separate ourselves from the competition. Twenty years ago, I'm going to walk through the whole history here momentarily. We were the world's only negative calorie average. Now we've since morphed into what we are today.

But the DNA of the brand remains the same. It's one of the distinct characteristics. It gives us authenticity and the healthy halo that really differentiates us from the monsters and rebels.

Ten years ago when I was selling into the gyms and nutrition stores. You could show up to a gym, you'd see Red Bull and Monster in the cooler. Today, if you walk into a gym where Monster and Red Bull is, I'd be wondering what kind of gym you're in. That's not hitting on Red Bull and Monster. It's just kind of the way it is.

Celsius growth timeline, the evolution of our brand. 2004, founded as the world's only negative calorie beverage. We'll get into that product positioning here in a little bit. But we were born in the gyms. It did give us that authenticity as part of that healthy halo that I talked about earlier. 2012, turnaround management team was installed. The company was on the brink of insolvency in 2011. Carl DeSantis, our largest shareholder, brought in a new management team. The DeSantis family still is our largest shareholder today. Carl brought in a new management team, Jerry David as CEO at the end of 2011. Jerry brought in John Fieldly as his CFO, a young 30-year-old guy who was a go-getter. John Fieldly, now today, is our CEO.

2013, this is important to understand about our brand and our evolution. It's our drill-deep strategy. One of the mistakes the original founders made was they went thin and wide. They tried to get as much space as possible, get as many coolers and stores as possible, but they didn't have the marketing dollars to create the pull-through off the shelf.

So what we did when we came in as a new management team was we executed a drill-deep strategy in five markets around the country where we concentrated our sales and marketing efforts. Those markets were South Florida, Tampa, Los Angeles, Dallas, and New England.

A couple years later, we added New York City to the list. If you look at those six markets today, we significantly outperformed and overindexed versus our national average in terms of market share. We've cited South Florida publicly where we have a mid-20s market share and exceed monster in South Florida.

One of the big moments in our company's history, 2017, we unveiled the packaging and rebrand that you see today. This is when we changed from the world's only negative-calorie beverage. It just wasn't resonating with consumers.

Nobody likes to walk around with a SlimFast and showcase that they're trying to lose weight. Plus, people thought it was snake oil, quite frankly, and it didn't really make sense to them. So we repositioned the brand.

We knew it internally. We were reading the reviews on Amazon, hearing it from people that we spoke to. This is an energy drink.

Now, we had functional characteristics that I'll walk through in a little bit, talking about the clinical studies that validate the claims that we make. But this packaging, it sells itself in the cooler. It differentiated us from the competition. Monster, Red Bull, Rockstar, the traditional energy look quite a bit different from those brands.

2020, another big moment for Celsius. We shifted to DSD. DSD means direct store delivery. That's white-glove service you're going in the front with, at that time for us, Anheuser-Busch, independent beer network. Bang Energy had been blocking us out of that network.

Prior to that point in time, we were having to go in through the back door, through wholesalers like McLean, and hope that the guys and gals working at those stores would keep us merchandised and keep us, you know, in stock. And that is not the way that you want to survive as a beverage.

So when Bang moved to Pepsi in 2020, we filled out national DSD coverage with over 200 distributors nationwide. If you go back and look at our revenue, look at our stock, that's when things really started to pop. 2022, this is when we expanded our drill-deep strategy for the first time from 6 markets to 18 markets. Then in 2023, we expanded that to 22 markets, and today it's up to 31 markets.

In 2022, Pepsi came in with a \$500 million investment to grab 8.5% of Celsius, and we transitioned into the Pepsi network. You've got the big two. You've got Coke and Pepsi, and we were the big player in the energy category for Pepsi.

Our TDP, total distribution points, accelerated. ACV, which ACV means what percentage of tracked stores you're actually in, went from 65% to 95% in about three months. National big time. And then as I referenced earlier, in 2023, we were the first brand in the energy category to eclipse 10% market share in the last decade.

So who is Celsius? What's our brand about? It's about live fit, and here's what's important about live fit. At the time we transitioned to this packaging, people really saw us as a fitness brand.

Fitness was too niche for where we wanted to go. Living fit is different than just fitness. Fitness is great. It's what's in our DNA. Living fit is aspirational. You don't necessarily have to go to the gym to drink Celsius. That's something a lot of people do. If you just want to get through your day, Celsius is the choice for you. We're a better-for-you, premium, zero-sugar alternative that's disrupting the category.

Let's talk about that category right now. In 2023, you saw the household penetration for energy drinks. This is the category you want to be in. Go from 64% up to 70% in one year. Take a look to the right. You can see the beverage category over the last four years. Total beverage has been on the decline. Energy is not. Energy is the place that retailers are expanding their space.

They're taking it from CSDs, waters, dairies, coffee. They're giving it to energy, and we're the biggest beneficiary of that, because Red Bull and Monster already have a ton of space. We're the number three player, and we're taking full advantage of that opportunity.

Who's growing this category? It's Celsius. \$1.8 billion in retail track sales last year, 47% is our growth to the category. We are the leaders in growing the energy drink category. Red Bull and Monster, still amazing players. They are the duopoly, relatively flat. We're the ones that are bringing new consumers to the category.

This is very critical, and this is one of the big stories of Celsius. Per numerator, 41% of all of our growth is new to category. These are consumers coming into the category for the first time. It's really two subsets. It's that younger generation coming in for the first time. It's also that 35-plus that grew up with energy, but maybe Rockstar, Monster, Red Bull wasn't for them.

Celsius is an easier entrance point. So we are incremental to the category. One other way we're incremental to the category, not just new to category, what they call user intensification. That means that you're drinking more Celsius than you otherwise would have other energy drinks. So 79% of Celsius consumption is new to category. Retailers love this because they're not just trading dollars from one brand to another.

Our dollar travels further than other brands because we're bringing new customers into that energy drink category, and the energy buyer at the retail level loves that. Also, when you look at the new to category, this is how we catch up to Red Bull and Monster. We're bringing the new to category, compound that over a few years. That's how you continue to inch closer and closer to Red Bull and Monster.

Look at household penetration. We're up to 26.8%. Grew 11.5% just in the last year. This is all part of our drill deep strategy with the 31 markets that I referenced earlier. Number three brand, as I said earlier, larger than and this is -- we're the clear number three at this point. We're larger than the four and five brands combined.

Also, as I mentioned, number one in terms of the growth brand in energy. Let's take a look at the growth of Celsius versus our peers over the last two years. Two years ago we were sitting at about three and a half share in the category.

To grow a point in this category is incredibly difficult. We've climbed eight points just in the last two years. I feel there's a lot of runway left.

Let's talk a little bit about why we're successful. We have these roots in fitness that I spoke about earlier. Health and wellness trends. We all know this is the direction of our country. Not just the U.S. This is a global phenomenon. But 28% of those aged 18 to 34 are looking for better for you or natural ingredients, 46% are looking for functional performance to be included within their beverages.

Most importantly, take a look at that chart on the right. Sugar free energy. Believe it or not, full sugar drinks are still the preponderance of the category. That's getting ready to flip for the first time. We own sugar free. You see Monsters moving into sugar free. Red Bulls just recently, I don't know if they've announced, but everyone knows that it's coming. They're bringing a bunch of new

sugar free drinks to the market this summer. We love that. We want their consumers to turn around the can, see how much sugar is in their core line, and we're going to win on flavor versus them and sugar free.

Functional beverage backed by science. We have better ingredients than our peers. Green tea, extract, rhino seed, ginger root, B complex, a host of B vitamins, vitamin C and chromium [ph]. This product was actually designed by supplement makers. That's what makes this different.

Many times you'll find beverage makers trying to create a product. This was actually created by people from the supplement industry to have a true functional beverage. That's why we do so well in the gyms. People actually feel this. It works. No drag, no hangover afterwards. No crash.

I mentioned this earlier. We're able to make the claims on our pack because we're backed by science. Six clinical studies, all peer reviewed and published in medical journals, substantiate our claims about accelerating metabolism and burning body fat.

Let's talk about the portfolio real quick. So this is our core line. We've actually bifurcated this into two lines. It's the exact same formula, just we have a little bit more fun with the vibe line. 24 flavors, seven essential vitamins and minerals, zero sugar, green tea, guarana extract, as I mentioned.

What we're trying to do is build this billboard effect. So when you walk into a retailer, think about a convenience store, you open up that cooler, if you only have two or three facings up there, you're going to get lost. You have two or three shelves, that's when you're starting to bring in new consumers to trial and love your product.

So right now the way we've positioned it to retailers, the fruit forward line, slightly different demo than the vibe line, we're able to sell in full shelves of each of those at many retailers around the country.

We just recently launched our essentials line [ph]. This is a 16-ounce can. A lot of people we see are moving into the 12-ounce leak, where we're performing very well. Why are we going to 16 ounces? It's close to 50% of the category. Monsters end very well with 16 ounces.

Ghost and C4, doing well, doing well. This is why we want to play there, going after a different consumer that is looking for more volume in terms of a liquid perspective. Same amount of caffeine as our 12-ounce line on a per-ounce basis.

Same core formula, but also added essential amino acids. We launched with this in Q4 at 7-Eleven. It's been very incremental to us going after, call it a more male, blue collar and also traditional male consumer with this product.

And, again, continuing to build out that billboard effect of Celsius within the cooler. Then we have our on-the-go sticks. These are the exact same formula as our 12-ounce can. This is for people who are traveling or just want to have a different version of Celsius. You mix it with your water, and you can enjoy Celsius while you're on the go.

Again, talking about one of the reasons for success for our brand, fitness and wellness trends. Gym check-ins up 60% year over year. More are identifying as what they call fitness explorers, people looking to get into the lifestyle. And Gen Z is more invested in physical and mental health.

I was at my gym two weeks ago on a Friday night because I had nothing better to do at 6 p.m., and there was a bunch of high school kids there. And I was like, 20 years ago, you would not have

seen high school kids working out at a gym on a Friday night. This is what both male and female, high school, college, this is part of a lifestyle.

And that's really what differentiates us. One of the ways we differentiate is as a fitness lifestyle beverage. Again, it's not just for those working out, but that working out, getting trainers and bodybuilders or athletes.

I was just at the Dustin Poirier fight in Newark over the weekend. Dustin Poirier is one of our athletes. These are people that lend credibility to our brand because people that are most interested in their diet and nutrition drink our product, and people see that, and they see them walking around with this product, and they say, okay, this must be a better-for-you product because of the people that are consuming it.

What are we doing? We've termed this Generation C for Celsius. We're going after this crowd, this younger consumer where they live, where they work and play. How are we doing this? In a variety of ways.

We've partnered with the Ferrari team on F1, global deal, multi-year deal. Can't think of better alignment for a brand that wants to be hip, cool, and sexy and about performance than Ferrari. Jake Paul. Jake Paul is great. Love Jake Paul. We actually -- we're going to be the main sponsor of the Mike Tyson-Jake Paul fight.

Unfortunately, that's been delayed. Jake Paul has got a massive audience, and just one of many people that we partner with to tap into their audience. Social media is where we win. Influencers are where we win.

What's actually interesting is we don't have to go to influencers and say, "hey, why don't you try our beverage, and if you like it, let's work on a deal." We work with people who actually drink our product, and we're already drinking our product ahead of time. Jake Paul is one of those guys. I think that's Tyler Cameron right there from The Bachelor, but I don't watch The Bachelor, but seems like a nice guy every time I've met him.

Global expansion. Kind of referenced this earlier. Let's look at Monster as the benchmark because they're the most clear one in our category, and they've had quite a bit of success over the last 25 years. About 40% of their revenue is international.

They did over \$4 billion in the U.S. last year, close to -- a little bit over \$3 billion internationally. Number one, the U.S. is still our priority because we did \$1.2 billion in the U.S. last year. That means we have \$3 billion to make up on Monster.

So that is our number one priority. That being said, we know these global wellness trends are global, and we need to begin investing in that future. This is more of a five-year plan.

We're already in Sweden where we have a very healthy market share, Finland. We have production set up in Europe already and in Asia. We're rolling into, as I mentioned earlier, Canada in January.

We did U.K., Ireland this quarter, Australia, New Zealand, and France in Q4. It's going to be a methodical approach. We're not looking to just blow cash. We are judged every quarter by the street, and we're going to continue to run this thing with a fine-tooth comb.

I already referenced this, where we're going into next year. This is really a big opportunity for us. Five-and-a-half share in Canada already. U.K., we're seeing some really strong results. Really excited about where we're going.

All right, so here's the reason why I'm here today. Why do you guys want to get involved in Celsius now? Have we maxed out? How much further, how much bigger can we get?

Number one, we're number one on Amazon. We outsell Red Bull. We outsell Monster. Everybody orders from Amazon.

We don't have, like, an ace up our sleeve. We don't have any tricks. We don't have some hackers that are beating the system.

When space is not a consideration, because you think about retail space that both the Red Bull and Monster have, we're able to outperform them on one of the biggest retailers in the United States. Number one on Amazon, we're close to it, with over a 20 share.

Number two, we hold a 15 share or greater in 12 major metropolitan markets around the U.S. I mentioned it earlier. In South Florida, one of the largest energy drink markets, we have mid-20, we'll call it around a 25 market share today, outsell Monster.

We actually -- when you look at MULOC, MULOC just means all of tracked sales within retail, whether it's convenience, grocery, mass, and drug. MULOC plus, the plus actually includes Amazon and Costco where we perform very well. We actually have 15, or excuse me, 12 states where we have over a 15 share.

The entire state of Florida, we have a 20 share. We're sitting at just around a 12 share today as a brand. This is the runway.

Number one on Amazon, 20 share in the state of Florida. Major metropolitan areas, we're right around 15 to 20 share, plus with a lot of growth ahead.

Three, talked about throughout the presentation, on-trend functional beverage for today's wellness-minded consumers. We are the better-for-you option. Monster and Red Bull, it's going to be difficult for them to move away from traditional energy and pivot into what consumers are looking for today. We're the go-to.

Number four, growing the energy drink category. I already mentioned this. Celsius drew [ph] 47% of growth in the category in the first quarter, with a 26.8% household penetration. And we're growing it through the new users. Again, this is critical. 41% of our consumption is new to category.

Where are we sourcing these consumers from? They're coming from carbonated soft drinks, sports hydration, and coffee. I have conversations with people all the time because I think my entire wardrobe is Celsius. So, I walk out, somebody starts talking to me, asking me, oh, is that the energy drink?

We're sitting with our CEO recently at a lunch. Two young college girls were sitting next to us, asked us if we work for Celsius. We probably said yes. And they said, oh, my God, we love Celsius.

So, of course, we started asking them questions. "Where did you find Celsius?" "Well, at our gym." "Oh, that's great."

John, our CEO, asked, "What energy drink were you drinking before Celsius?" And with a look of disgust, they both said, "We don't drink energy drinks." Meanwhile, they just told us they drink two Celsius a day. This is a different generation, and Celsius is going to capitalize on it.

Got some financials here that you guys can go through as well. And for that, I'm ready for some Q&A. Jon?

Questions And Answers

Q - Jon Andersen {BIO 15033263 <GO>}

Thanks, Toby.

So, we're going to shift [ph].

If anyone has any questions, (inaudible). If you have any questions around wide space and big emphasis on companies, gaps, there's a lot going on. I want to -- give us an update on (inaudible) there and how far along in the process are (inaudible).

A - Toby David {BIO 20749891 <GO>}

Yes. I mentioned it earlier, the energy category, the retailers are giving us more and more space, and we feel like we're the biggest beneficiary of that because Monster and Red Bull already have a ton of space. We've been growing at a great clip, strong velocity.

So, we haven't really publicly stated where we think we're going to land. We have said this is going to be the biggest year as far as growth that we've seen, and that's really the key. We're already at 98% ACV, so it's about the breadth of distribution within the store.

I was at -- Paul and I were at a conference in December up in Park City, and Maverick is a location and one of the highest velocity retailers, convenience store retailers in the country. Went in there, couldn't even find Celsius.

We had three facings, and there was something like the top crack. You couldn't find Celsius if you were looking for it. It was a three-door set.

This year, we're coming out of it with about a shelf and a half at that kind of location. Now, is a shelf and a half enough? No, we want more than that. Now, that's in Pac [ph] Northwest, which is an area that's been underdeveloped and one of the newer drill deep markets for us.

So, where are we situated right now? We haven't really publicly disclosed. I think by the end of the month you'll have a pretty good idea of where we ended up if you look at the tracks, Circana data on the number of SKUs per location.

We're very confident in the placements. There's still some remaining. I think Circle K and some of the Kroger divisions still have some resets left to do.

But once these sets get redone, it's really important that you're allowed to marinate for a little bit of time so that's when you're going to build up the consumer base. They just don't show up because they heard there were resets done at the retailer. It takes a little bit of time for you to capture that consumption.

Q - Unidentified Participant

(inaudible).

A - Toby David {BIO 20749891 <GO>}

Yes. I think because of the timing, it's going to be tough to take advantage of the Olympics because Q4 is when the launch is going to be. So, we've talked about it internally if we can do some grassroots events, but nothing major. We were -- we just had the Monaco F1 race, and I mentioned the Ferrari partnership.

I know that we had a major retailer from France that you bring out to the event. And that's one of the ways you win gratitude from some of the retailers is taking to events like that. So, I mean, we're going to leverage the assets that we have. We think the F1 Ferrari deal is going to be excellent for Europe as well as in APAC and the U.S. But, yeah, we're not sure about the Olympics.

If it is, it's not going to be, like, significant.

Q - Unidentified Participant

(inaudible).

A - Toby David {BIO 20749891 <GO>}

Yes, a good question. So, Paul Storey is our Chief Supply Chain Officer. He came over from Monster where he was the head of global ops there for four years. He also built Rockstar from the operational footprint. He has best-in-class relationships with all the can manufacturers, the three major can manufacturers globally.

We don't own any of our own production. We outsource all of our production. We have over 20 co-packers that we use in the U.S.

We have co-packing in Europe as well as in Asia. When we launch in Australia, we'll have production there.

Paul challenges our sales team every week to try to outsell his production capabilities. So, we're very confident that we're going to be able to scale with the business.

Q - Unidentified Participant

(inaudible).

A - Toby David {BIO 20749891 <GO>}

Yes. So, yes, and just to be clear, the inventory pullback wasn't in terms of total cases. It's on days on hand of inventory because our sales continue to grow, so that's how we track it as a days on hand. So, I think they're just getting more efficient with the way that they operate.

Last year was the first full year. They're trying to understand our brand. We have a number of SKUs.

Listen, just like any good business, we've drawn down the amount of inventory of raw materials that we hold. So, I think they're just trying to figure out what's the appropriate amount. And as long as they're servicing accounts, there's no complaints on our end.

It's more of -- obviously it creates noise for us as a publicly traded company. At this point, we don't have any updates. I mean, the last thing we stated pub....

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